

POLICY & SOP

Sales Policy — Trade Discounts, Credit & Distributor Management

Version: 3.6 | Effective Date: 01-Apr-2026 | Owner: Chief Sales Officer | Applicable To: All Sales personnel and appointed Distributors

1. Purpose

This policy governs trade discount structures, distributor credit management, returns, and promotional scheme approvals to ensure consistent, compliant, and commercially sound trade practices.

2. Trade Discount Structure & Approval

Discount Type	Standard Range	Approval Authority
Standard Trade Margin (Distributor)	6% – 9% of MRP-linked price	Pre-approved in Distributor Agreement
Volume/Scheme Discount	Up to 3% additional, scheme-linked	Regional Sales Manager
Ad-hoc Promotional Discount	Case-by-case	Zonal Sales Head + Trade Marketing
Discount exceeding standard slabs	Any	Chief Sales Officer

3. Credit Limit & Credit Period

Distributor Category	Standard Credit Period	Credit Limit Basis
Category A (Metro, high-volume)	21 days	3x average monthly billing
Category B (Tier-1/Tier-2)	14 days	2x average monthly billing
Category C (Tier-3/Rural, new appointments)	7 days or advance	1x average monthly billing

Credit limit enhancement requests must be supported by the distributor's payment track record and are approved jointly by the Regional Sales Manager and Finance Business Partner.

4. Returns & Damage Policy

- Quality/damage returns must be claimed within 7 days of delivery, supported by photographic evidence via the DMS.
- Near-expiry stock (beyond the shelf-life alert threshold) may be returned only if the distributor has maintained the minimum offtake commitment for the preceding quarter.
- Returns are not accepted for stock damaged due to improper storage at the distributor's premises.

5. Promotional Scheme Approval

All consumer and trade promotional schemes (buy-more-save-more, festive combos, visibility incentives) must be approved by Trade Marketing and Finance prior to communication to the trade, with budget pre-allocation in the relevant A&P (Advertising & Promotion) cost centre.

6. Distributor Termination

Termination of a distributor appointment requires 60 days' written notice (or as per the signed Distributor Agreement), settlement of all outstanding claims, and joint sign-off from the Regional Sales Manager and Legal & Compliance in cases involving contract or ethics violations.